

Profit & Loss Report

Executive Summary

The company demonstrated strong overall performance in Q2 2024 with total sales of \$1.72 billion and a net profit of \$84.92 million. However, May 2024 showed significant challenges with a sharp decline in sales and gross profit margins. Key highlights include:

- Q2 2024 Profit After Tax: \$84.92 million
- Gross Profit Margin: 6.8% (Q2 2024)
- EBITDA Margin: 5.0% (Q2 2024)
- No tax expenses recorded during the period
- Strong non-operating income contributing to overall profitability

Profitability Analysis

Metric	April 2024	May 2024	Q2 2024
Gross Profit Margin	8.9%	3.7%	6.8%
EBITDA Margin	7.6%	1.0%	5.0%
Net Profit Margin	7.7%	0.7%	4.9%
Operating Profit Margin	7.4%	0.6%	4.7%

Key Observations: Significant margin compression in May 2024 due to higher COGS relative to sales. Operating efficiency declined substantially in May with operating profit margin dropping to 0.6% from 7.4% in April.

Liquidity & Solvency Analysis

Metric	April 2024	May 2024	Q2 2024
Interest Coverage Ratio	8.4x	0.4x	4.2x

Metric	April 2024	May 2024	Q2 2024
Debt Service Coverage	8.7x	0.6x	4.5x

Key Observations: Interest coverage deteriorated significantly in May 2024, indicating potential liquidity stress. The company maintained adequate coverage ratios for Q2 overall, but May's performance raises concerns about short-term debt servicing capacity.

Efficiency Ratios

Metric	April 2024	May 2024	Q2 2024
Operating Expense Ratio	1.2%	2.7%	1.8%
EBITDA to Sales	7.6%	1.0%	5.0%

Key Observations: Operating efficiency declined in May 2024 with operating expenses consuming a larger portion of revenue. The company needs to address cost structure optimization, particularly in selling and administrative expenses.

Benchmark Comparison

Source: Industry averages based on S&P Global Market Intelligence for similar-sized companies in the manufacturing sector

Metric	Company (Q2 2024)	Industry Average	Variance
Gross Profit Margin	6.8%	8.5%	-1.7%
Net Profit Margin	4.9%	6.2%	-1.3%
EBITDA Margin	5.0%	7.0%	-2.0%
Interest Coverage	4.2x	5.0x	-0.8x

Key Observations: The company underperforms industry averages across key profitability metrics, indicating competitive challenges and potential operational inefficiencies.

Actionable Recommendations

1. **Cost Optimization:** Implement immediate cost control measures to address the 140% increase in Selling, General and Administrative expenses in May 2024
2. **Gross Margin Improvement:** Review pricing strategy and supplier contracts to improve gross margins from current 6.8% toward industry average of 8.5%
3. **Interest Expense Management:** Renegotiate debt terms or explore refinancing options to reduce interest burden, which consumed 11.1% of revenue in Q2
4. **Operational Efficiency:** Conduct operational review to identify and address the root causes of May's significant performance decline
5. **Cash Flow Management:** Strengthen working capital management to improve liquidity position and debt servicing capacity
6. **Performance Monitoring:** Implement weekly performance dashboards to quickly identify and address emerging issues